Policy & Standard Operating Procedure		Devsinc
Title: Car Policy	Issued To: HA	

Effective Date:	01st January 2025
Version:	#002

Process Owner:	Reviewed by:	Final Reviewed by:	Approved by:
VP HA	CFO	CDO	CEO
Signature	Signature	Signature	Signature

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Revision History			
Rev. Number	**Description**	**Rev. Date**	**Effective Date**

1. Purpose

Devsinc strives to create ease and comfort for its employees by offering market-competitive perks. We recognize that owning a car is a significant investment, and we aim to facilitate this for our employees to meet their professional and personal needs.

2. Scope

This policy applies to all employees based in Pakistan in the engineering and operations department at Devsinc.

3. Accountability

VP HR and CFO will be responsible for ensuring the implementation of this policy in true letter and spirit through the guidelines laid herein and the description of responsibilities stated in the procedural protocols.

4. Grade Eligibility

4.1 Benchmark Car: Employees falling in grades G-1 to G-8 are entitled to receive car as per the benchmark models defined below for each grade:

Grade	Designation	Benchmark Model	Car Allowance
G1	C-Level	Toyota Fortuner 2.7G	PKR 110,000
G2	SVP	Honda Civic RS Turbo 1.5	PKR 80,000
G3	VP	Honda Civic Oriel 1.5	PKR 65,000
G4	AVP	Toyota Altis Grande 1.8	PKR 55,000
G5	Sr. Director	Toyota Altis 1.6	PKR 50,000
G6	Director	Honda City Aspire 1.5 (AT)	PKR 40,000
G7	Associate Director	Honda City 1.2 (AT)	PKR 35,000
G8	Sr. Manager/Architect/PM	Cultus VXR or Picanto (AT)	PKR 30,000

4.2 Car Benchmark: The value of the car will be determined by the ex-factory price of the benchmark model as prescribed in the entitlement table. Employee may also choose to have a car (locally manufactured / assembled only) of any other well-known brand having proper dealership setup in Pakistan, that falls within the price limits of the ex-factory price of the benchmark car.

4.3 Car allowance: Both existing and new employees will be provided car allowance till the time the car is delivered to the employee. In case the car is delivered during the running month, HA Ops team will discontinue the car allowance from the same month.

4.4 Premium on Car: The company will be responsible for booking the car with the respective dealership and the booking period will apply as defined by the manufacturers. The company will not be responsible for paying any premium amount to cut short the car procurement time. However, employees will have the leverage to pay the premium amount directly to the dealership and reduce/eliminate the lead time.

5. Incentive Car

5.1 Employees in the engineering division, who are below the rank of G8 will become eligible to receive the car as an incentive, upon achievement of a defined target. i.e., USD 16,000 business communication on a recurring basis and is subject to approval by CDO.

5.2 The target amount of USD 16,000 is subject to review at regular intervals, keeping in view business dynamics, authority of which will reside with CDO office.

5.3 Such incentive will only be offered in the shape of a company-leased car and no other transaction (cash/in-kind) will be allowed. For the purpose of benchmark, Suzuki Cultus VXR / Kia Picanto (AT) will be offered. Any employee who wish to upgrade the vehicle to any other vehicle, can do so as per the guidelines defined in clause 7.

5.4 This will be a one-time incentive that will mature on the completion of a 5-year term.

5.5 Employees in such grade where the car is an entitlement and have availed the benefit under this scheme, either in car or cash or any other support, will complete their 5-year term before they become eligible for the car as per their respective grade.

5.6 In case an employee who has availed incentive under this scheme, gets promoted to grade which entitles them to the car, will have the following options:

- Complete a tenure of 2.5 years from the date of availing this scheme and opt for the car as per grade entitlement.
- Return the amount or surrender the benefit (car / any other support) in full to become eligible to avail the grade entitlement. This is also applicable to any sort of incentive (cash / in-kind), already given to employee as a previous practice.

- In case of surrender of benefit, maturity term will start from new entitlement.

6. Car Maturity Term

6.1 The maturity term of the car will be 5 years from the date of car delivery, upon completion of which the employee will be entitled to purchase the existing car by paying 50% of the market value OR get the cash amount equal to 50% of the sales proceeds of the car.

6.2 This rule will be also applicable to the incentive car.

7. Car Upgrade

7.1 All employees who are eligible to receive a car either by grade entitlement or incentive car, will have the option to upgrade their car by paying the differential amount.

7.2 In case of car upgrade, all sort of additional associated costs incurred on insurance, tracker, registration, advance tax, withholding tax and annual token will be borne by the employee by paying the difference in lump sum.

7.3 Such differences will be calculated by the Admin Department and communicated to the employee on a case-to-case basis.

7.4 In case the employee leaves the company, voluntarily or involuntarily; before the maturity of the car term, the additional amount paid by the employee to upgrade the car will be returned as described in clause 8.1.

8. Car Buyback Protocol

Description	Buyback Term	Buyback Value
Term Maturity	Completion of 5 years from car delivery	50% of the market value OR 50% of cash from the sale proceeds of the car
Promotion	Completion of 2.5 years from car delivery	50% of the market value, on a pro-rated basis
Voluntary Resignation	up to 30 months	No Buyback to exiting employee (a) offer to any eligible employee (b) dispose off car and retain the car proceeds
	31 – 36 months	buyback car at 75% of market value + lease termination charges
	37 – 48 months	buyback car at 65% of market value + lease termination charges
	49 – 59 months	buyback car at 55% of market value + lease termination charges

8.1 If the employee has upgraded the car, they will get back their contribution in the same proportion as originally invested in the upgrade of the car and the standard buyback policy will apply to the remaining amount of market value of the car.

Example: If an employee is entitled to a car priced at PKR 8,000,000 but is interested to purchase a car priced at PKR 10,000,000, the difference paid by the employee as own investment at the time of booking is 20%. In the scenario of separation within 30 months, where the market value of the car comes to PKR 8,500,000 the employee will receive back PKR 1,700,000 (which is 20% of the car market price). However, if the employee becomes eligible (beyond 30 months) to buy back the car, the remaining amount of car PKR 6.8M (PKR 8.5 M - PKR 1.7 M = PKR 6.8 M) will be distributed at the percentage mentioned in the above grid as per applicable tenure.

9. Additional Accessories:

The Company shall not pay any amount to change or add the additional accessories/equipment of the new car, .i.e. rims, seat covers, sound system, anti-theft device, security alarm, horn, lights, consoles, mirrors, sunshades, dust covers, perfumes, air fresheners, luster, duster etc.

10. Routine Maintenance & Accidental Repairs:

10.1 Employees will be responsible for maintaining the car in good condition at all times and ensuring that routine maintenance (oil change, oil filter, air filter, tire change) is being carried out throughout the period of holding the car, through authorized vendors as prescribed in car maintenance guidebook issued by the OEM, so that manufacturing warranty remains intact.

10.2 M-Tag will be provided for each car by the Admin Department, the cost of which will be borne by the Company.

10.3 Since the car will be insured, the employee shall immediately inform the admin department about car accidents or theft. It will be the responsibility of the admin department, to arrange for accidental repairs through the insurance vendor and employees are not authorized to do so on their own.

10.4 All repair expenses shall be borne by the insurance company. However, the depreciation on part replacement after 1st year of insurance of car shall be borne by the employee.

10.5 Employees will bear the cost of all sorts of traffic violations / challans, during the time the car is in their custody.

11. Ownership

The car's ownership will remain in the name of Devsinc till the time maturity period is completed (term completion or promotion case). On completion of the maturity, as the case may be, Devsinc will get the car cleared from the bank lease agreement and issue NOC in the name of employee who will further get the car transferred to their name within 1- month of issuance of NOC and bear applicable cost as per the scheduled charges.

12. Car Requisition Process

12.1 Eligible associates will initiate the car requisition process by raising a ticket to HR through the HRIS, which will be subject to the approval of respective Divisional Head (CBO/CDO), VP HA and CFO.

12.2 HA will confirm the outcome of the application to the associate upon approval and coordinate for the car requisition process with Finance and Administration.

12.3 HA Operations team will initiate the process of car requisition for all new hires, by thoroughly checking necessary requirement from employee and ensure the process is initiated on the day resources join in.

13. Registration and Procurement Procedure:

13.1 The admin team will seek quotations for the relevant car requested according to the entitled car after the approval process.

13.2 The Accounts team will initiate the process with the bank and complete necessary documentation to get the process completed.

13.3 Once the invoice is received from the manufacturer / bank, admin department will get the vehicle registration completed and handover the car registration card to the employee, and maintain carbon copy of same in their records.

14 Car Replacement on Maturity

14.1 The company will start the procurement process for new car as per the grade entitlement of the employee, one month before the completion of 5 years of the existing car. The employee will keep driving the existing car until the new car is delivered.

14.2 The admin department will get the existing car evaluated independently and invite quotes from three different vendors, one week prior to the delivery of the new car and give employee an option to purchase the car or opt to have 50% cash of the market value.

14.3 The employee will take a decision about whether to purchase the existing car within one week after the receipt of the offer from the company.

14.4 If the employee opts not to buy the car, the car will be sold in the market and 50% of the value offered (as described clause 8) will be provided to the employee. Any deficit/surplus emerging on the sale of the car will be on account of the company.
14.5 In any case, the entire process cannot go beyond one month from the delivery of a new car.

15 Car Demand Planning

HA will maintain an updated list of employees along with the allocated cars. HA will determine the number of cars to be procured on an annual basis after assessment at the time of the budget process.

16 Effective Date

This policy will be effective from January 01, 2025 and all employees are expected to familiarize themselves with the policy and adhere to its guide lines.

17 Interpretation and Review

17.1 This policy has been designed with consideration of the prevailing dynamics. It has been drafted after keeping in view multiple situations to the best of our understanding and any interpretations should be directed to the HR Head.

17.2 This policy will be reviewed every two years or earlier if deemed necessary (by virtue of unusual market dynamics) to keep it updated and effective. The process owner of this policy will devise a mechanism of internal audit and will ensure that all documents and procedures related to this policy are available for an external audit as and when required.